

Why Do I Need to Understand This?

One of the keys to achieving your financial goals is being organized. You need to monitor and control where your money is going, and banking is the first step in this process.

Without a bank account, life is much more difficult. First, you need to travel to a physical bank or check-cashing company each time you get paid (and check-cashing companies charge needless and expensive fees for their services). Second, by carrying cash, you are exposing yourself to excessive risk: you could lose the money, have it stolen, or not have it with you during an emergency. Unlike an old shoebox you keep in your closet or wherever else you hide your money, most banks are insured by the Federal Deposit Insurance Corporation (FDIC). Being **FDIC insured** means that even if your bank gets robbed or the institution goes bankrupt, your money (up to \$250,000) is still insured by the federal government.

Additionally, when you are only dealing with cash, it is much more difficult to keep an accurate record of where your money is being spent and how much you have. Almost every bank today offers online banking, which is extremely helpful in monitoring your purchases and the amount of money you have in your account. Online banking helps you determine exactly how much money you are spending and where you are spending it. Finally, as you learned in the previous chapter, you can actually earn a profit by putting your money in the bank and being paid interest on it.

Opening a bank account is not the end to all your problems. You need to understand the products and services your bank offers you in order to take full advantage and use them effectively. This chapter will teach you the basics of banking and how to avoid simple mistakes that cost many Americans money.